

WILLIAMSON TEA KENYA LIMITED
AUDITED RESULTS FOR THE YEAR ENDED 31st MARCH 2015
Website: www.williamsontea.com

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	31.03.2015 Kshs'000	31.03.2014 Kshs'000
Turnover	2,590,416	3,512,086
Profit from operations before tax	193,884	614,593
(Decrease)/increase in fair value of biological assets	(471,682)	346,663
Finance (costs)/income	(9,083)	7,747
Share of results of associated Companies	(11,684)	72,030
(Loss)/profit before taxation	(298,565)	1,041,033
Tax Credit/(Charge)	70,929	(300,312)
(Loss)/profit for the year	(227,636)	740,721
Attributable to:		
Equity Holders of the parent	(208,107)	712,380
Non-controlling interest	(19,529)	28,341
Profit after tax attributable to members	(227,636)	740,721
Comprising:		
Profit arising from operating activities	97,298	478,579
(Loss)/Profit arising from changes in fair value of biological assets	(305,405)	233,801
Non-controlling interest	(19,529)	28,341
	(227,636)	740,721
Issued Shares of Kshs 5 each	8,756,320	8,756,320
(Loss)/earnings per share (Kshs)	(23.77)	81.36

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Revaluation Reserves Kshs'000	Revenue Reserves			Non-controlling Interest Kshs'000	Total Kshs'000
			Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000		
Balance at 1 April 2014	43,782	635,847	1,363,484	3,623,003	4,986,487	192,141	5,858,257
Total comprehensive income for the year		53,700	233,801	478,579	712,380	28,341	794,421
Excess depreciation transfer		(69,465)		69,465	69,465		-
Deferred tax on excess depreciation		20,841	-	(20,841)	(20,841)		-
Final Dividends declared-2013			-	(65,672)	(65,672)	(6,479)	(72,151)
		-	-	-	-		-
Balance at 31 March 2014	43,782	640,923	1,597,285	4,084,534	5,681,819	214,003	6,580,527
Balance at 1 April 2014	43,782	640,923	1,597,285	4,084,534	5,681,819	214,003	6,580,527
Total comprehensive income for the year		297,933	(305,405)	97,298	(208,107)	(19,529)	70,297
Excess depreciation transfer		(151,621)		151,621	151,621		-
Deferred tax on excess depreciation		45,486	-	(45,486)	(45,486)		-
Final Dividends declared-2014			-	(61,294)	(61,294)	(6,494)	(67,788)
		-	-				
Balance at 31 March 2015	43,782	832,721	1,291,880	4,226,673	5,518,553	187,980	6,583,036

COMMENTARY ON THE RESULTS

Prices have been weak through the year as large unsold tea stocks from other producers within Kenya have provided buyers with the unwelcome luxury of too much tea. However, we have managed to secure an operational profit. A contributing factor has been our long standing and good relationships with a strong customer base prepared to commit to our teas on a forward basis, in effect purchasing the tea before it has actually been made in our factories.

DIVIDEND

The Board recommends a final dividend payment of Kshs.40 per share funded by reserves. The current very uncertain position concerning the Group's Land Titles as 99 year leases and no immediate major capital undertaking leads the Board to believe it is prudent to distribute this money to Shareholders now. The recommended Final Dividend subject to approval will accrue to Members on the register at the close of business on 30th June 2015, and therefore the register will remain closed from 1st July to 3rd July 2015, both days inclusive.

PROSPECTS

We expect to see better prices as we enter to new the financial year due to less tea available in the market as result of lower crop production. As a Group there will be a slower turnaround to realise these improved prices due to a percentage of tea that is already sold and committed forward.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the SIXTY FIFTH ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Thursday 16 July 2015 at 10.00 a.m for the following purpose:

- To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2015.
- To declare dividend.
- To elect directors:
 - In accordance with Article 108 of the company's Articles of Association, Mr. Mathew Koech, retires by rotation and offers himself for seek re-election.
 - In accordance with Article 114 of the company's Articles of Association, Mr. Edward C. Magor, a Director appointed to fill a casual vacancy retires at the meeting, and being eligible, offer himself for re-election.
- To approve the remuneration of the Directors.
- To authorise the Directors to reappoint /appoint Auditors and agree their remuneration.
- To transact other business for which notice has duly been served.

Special Business:

To consider if thought fit to pass the following resolutions as ordinary resolutions:

I. "That the authorised share capital of the Company be increased from shillings eighty seven million five hundred sixty three thousand three hundred twenty (Shs.87,563,320) divided into seventeen million five hundred twelve thousand six hundred forty (17,512,640) ordinary shares of shillings five (shs.5) each to one hundred and nine million four hundred fifty four thousand (109,454,000) divided into twenty one million eight hundred ninety thousand eight hundred (21,890,800) ordinary shares of shillings five (shs.5) each by the creation of four million three hundred seventy eight thousand one hundred sixty (4,378,160) ordinary shares of shillings five (shs.5) each to rank pari passu with the existing ordinary shares of the Company in all respects."

II. "That in pursuance to Article 135 of the Company's Articles of Association and subject to the Shareholders and Capital Markets Authority's approval, it is desirable to capitalise the sum of forty three million seven hundred eighty one thousand six hundred (shs.43,781,600) being part of the amount outstanding to the credit of the revenue reserve of the company and the sum be applied in making payment in full at par for eight million seven hundred fifty six thousand three hundred twenty new shares of shillings five (shs.5) each in the capital of the Company, such shares to be distributed as fully paid among the persons who were registered as Shareholders of the Company at the close of business on a day to be fixed by the company at a rate of one fully paid share for every one ordinary share of the Company held by such holders, such fully paid shares to rank pari passu with existing issued shares."

G K MASAKI
COMPANY SECRETARY
THURSDAY, JUNE 11, 2015

The above extract is based on the Financial Statements of Williamson Tea Kenya Group for the year ended 31 March 2015 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards. The Group's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31.03.2015 Kshs'000	31.03.2014 Kshs'000
Capital and reserves		
Share Capital	43,782	43,782
Revaluation reserves	832,721	640,923
Revenue reserves	5,518,553	5,681,819
	6,395,056	6,366,524
Non-controlling interest	187,980	214,003
Total Equity	6,583,036	6,580,527
Non current liabilities		
Deferred Taxation	1,240,103	1,257,203
Employee benefit obligations	227,662	198,826
Borrowings & Finance lease	187,493	180,291
	1,655,258	1,636,320
	8,238,294	8,216,847
REPRESENTED BY:		
Non current assets		
Property , Plant and Equipment	2,182,475	1,794,297
Intangible assets	4,807	1,893
Prepaid Operating Lease Rentals	76,626	76,710
Investments	971,139	927,598
Biological Assets	2,574,062	3,019,259
	5,809,109	5,819,757
Current assets		
Inventories	452,372	536,237
Trade and other receivables	1,142,542	860,011
Associated companies	-	4,534
Taxation	161,175	106,616
Short Term deposits	658,776	838,137
Bank & Cash	334,584	373,908
	2,749,449	2,719,443
Current liabilities		
Trade and other payables	313,893	322,353
Associated companies	6,371	-
	320,264	322,353
	8,238,294	8,216,847

CONSOLIDATED STATEMENT OF CASHFLOWS

	31.03.2015 Kshs'000	31.03.2014 Kshs'000
Operating activities		
Cash generated/ from operations	79,587	575,488
Interest paid	(19,825)	(11,242)
Interest received	93,833	63,419
Taxation Paid	(115,936)	(354,483)
	37,659	273,182
Investing activities		
Purchase of Plant and equipment	(208,030)	(265,123)
Purchase of intangible assets	(4,635)	(360)
Proceeds from disposal of plant and equipment	4,508	4,266
Expenditure on biological assets	(26,485)	(8,614)
Dividend from - Associated company	7,798	11,607
- other	496	693
	(226,348)	(257,531)

Financing Activities

Asset finance loans repaid	(17,123)	(6,033)
Asset finance loans received	52,608	178,458
Dividends paid to shareholders	(58,987)	(67,895)
Dividend paid to minority interest	(6,494)	(6,479)
	(29,996)	98,051
Increase in cash and cash equivalents	(218,685)	113,702
Movement in cash and cash equivalents		
At 1 April	1,212,045	1,098,343
Increase/(decrease)	(218,685)	113,702
At 31 March	993,360	1,212,045
Cash and Bank balances	334,584	373,908
Short term deposits	658,776	838,137
	993,360	1,212,045

KAPCHORUA TEA COMPANY LIMITED
AUDITED RESULTS FOR THE YEAR ENDED 31 MARCH 2015
Website: www.williamsontea.com

STATEMENT OF COMPREHENSIVE INCOME

	31.03.2015 Kshs'000	31.03.2014 Kshs'000
Turnover	1,073,989	1,192,483
Profit from operations before tax	76,798	107,970
(Decrease)/increase in fair value of biological assets	(101,214)	69,811
Finance (costs)/income	(5,120)	4,298
(Loss)/profit before taxation	(29,536)	182,079
Tax Credit / (charge)	6,751	(56,088)
(Loss)/profit for the year	(22,785)	125,991
Comprising:		
Profit arising from operating activities	48,065	77,123
(Loss)/profit arising from changes in fair value of biological assets	(70,850)	48,868
	(22,785)	125,991
Issued Shares of Kshs 5 each	3,912,000	3,912,000
(Loss)/earnings per share (Kshs)	(5.82)	32.21

STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs'000	Revaluation Reserves Kshs'000	Revenue Reserves			Total Kshs'000
			Biological Assets gains/(losses) Kshs'000	Other Kshs'000	Total Kshs'000	
Balance at 1 April 2013	19,560	168,443	455,851	640,159	1,096,010	1,284,013
Total comprehensive income for the year		-	48,868	77,123	125,991	125,991
Excess depreciation transfer		(25,058)	-	25,058	25,058	-
Deferred tax on excess depreciation		7,518	-	(7,518)	(7,518)	-
Dividend declared-2013			-	(29,339)	(29,339)	(29,339)
Balance at 31 March 2014	19,560	150,903	504,719	705,483	1,210,202	1,380,665
Balance at 1 April 2014	19,560	150,903	504,719	705,483	1,210,202	1,380,665
Total comprehensive income for the year		89,359	(70,850)	48,065	(22,785)	66,574
Excess depreciation transfer		(21,882)	-	21,882	21,882	-
Deferred tax on excess depreciation		6,565	-	(6,565)	(6,565)	-
Dividend declared-2014		-	-	(19,560)	(19,560)	(19,560)
Balance at 31 March 2015	19,560	224,945	433,869	749,305	1,183,174	1,427,679

COMMENTARY ON THE RESULTS

Prices have been weak through the year as large unsold tea stocks from other producers within Kenya have provided buyers with the unwelcome luxury of too much tea. However, we have managed to secure an operational profit. A contributing factor has been our long standing and good relationships with a strong customer base prepared to commit to our teas on a forward basis, in effect purchasing the tea before it has actually been made in our factory.

DIVIDEND

The Board recommends a final dividend payment of Kshs.5 per share funded by reserves. The current very uncertain position concerning the Company's Land Titles as 99 year lease and no immediate major capital undertaking leads the Board to believe it is prudent to distribute this money to Shareholders now.
The recommended Final Dividend subject to approval will accrue to Members on the register at the close of business on 30th June 2015, and therefore the register will remain closed from 1st July to 3rd July 2015, both days inclusive.

PROSPECTS

We expect to see better prices as we enter the new financial year due to less tea available in the market as result of lower crop production.
As a Company there will be a slower turnaround to realise these improved prices due to a percentage of tea that is already sold and committed forward.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the SIXTY SIXTH ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Wednesday 15 July 2015 at 10.00 a.m. for the following purpose:

Ordinary Business:

- To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2015.
- To declare a dividend.
- To elect Directors:
 - In accordance with Article 99 of the Company's Articles of Association, Mr. Edward C Magor, a Director appointed to fill casual vacancy retires at the dissolution of the meeting and offer himself for re-election.
 - In accordance with Article 95 of the Company's Articles of Association, Mr. Mathew Koech, retires by rotation and offers himself for re-election.
- To approve the remuneration of the Directors.
- To authorise the Directors to reappoint/ appoint Auditors and agree their remuneration.
- To transact such other business as may be brought before the meeting.

Special Business:

- To consider if thought fit to pass the following resolutions as ordinary resolutions:
- That the authorised share capital of the company be increased from shillings nineteen million five hundred sixty thousand (shs.19,560,000) divided into three million nine hundred twelve thousand (3,912,000) ordinary shares of shillings five (shs. 5) each to forty eight million nine hundred thousand (shs.48,900,000) divided into nine million seven hundred eighty thousand (9,780,000) ordinary shares of shillings five (shs.5) each by the creation of nine million seven hundred eighty thousand (9,780,000) ordinary shares of shillings five (shs.5) each to rank pari passu with the existing ordinary shares of the company in all respects."
 - That in pursuance to Article 135 of the Company's Articles of Association and subject to the Shareholders' and Capital Markets Authority's, it is desirable to capitalise the sum of nineteen million five hundred sixty thousand (shs.19,560,000) being part of the amount outstanding to credit of the revenue reserve of the company and the sum applied in making payment in full at par for three million nine hundred twelve thousand (3,912,000) new shares of shillings five (shs.5) each in the capital of the company, such shares to be distributed as fully paid among persons who were registered as Shareholders of the Company at close of business on a day to be fixed by the Company at a rate of one fully paid for every one ordinary share of the company held by such holders, such fully paid shares to rank pari passu with existing issued shares.

G K MASAKI
COMPANY SECRETARY

THURSDAY, JUNE 11, 2015

STATEMENT OF FINANCIAL POSITION

	31.03.2015 Kshs'000	31.03.2014 Kshs'000
Capital and reserves		
Share Capital	19,560	19,560
Revaluation reserves	224,945	150,903
Revenue Reserves	1,183,174	1,210,202
Shareholders funds	1,427,679	1,380,665
Non current Liabilities		
Deferred Taxation	333,537	330,250
Employee benefit obligations	107,579	96,391
	441,116	426,641
	1,868,795	1,807,306
REPRESENTED BY		
Non current assets		
Property , Plant and Equipment	519,993	396,142
Prepaid Operating Lease Rentals	21,645	21,669
Intangible Assets	336	47
Investments	717	717
Biological Assets	796,284	888,966
	1,338,975	1,307,541
Current Assets		
Inventories	163,340	194,936
Trade and other receivables	397,960	263,775
Due from related companies	15,897	10,340
Tax recoverable	20,223	17,911
Short Term deposits	-	-
Bank & Cash	46,844	134,658
	644,264	621,620
Current Liabilities		
Trade and other payables	104,918	107,111
Due to related companies	9,526	14,744
Taxation	-	-
	114,444	121,855
	1,868,795	1,807,306

STATEMENT OF CASH FLOWS

	31.03.2015 Kshs'000	31.03.2014 Kshs'000
Operating activities		
(Deficit)/cash generated from operations	25,045	(28,706)
Interest paid	(5,120)	(863)
Interest received	-	5,161
Tax Paid	(30,571)	(76,142)
	(10,646)	(100,550)
Investing activities		
Purchase of plant and equipment	(54,283)	(47,057)
Proceeds from disposal of Plant and Equipment	2,645	4,461
Dividends received	426	352
Expenditure on biological assets	(6,878)	(4,172)
	(58,090)	(46,416)
Financing activities		
Dividends paid	(19,078)	(29,148)
	(19,078)	(29,148)
(Decrease)/Increase in cash and cash equivalents	(87,814)	(176,114)
Movement in cash and cash equivalents		
At 1 April	134,658	310,772
(Decrease)/increase	(87,814)	(176,114)
At 31 March	46,844	134,658
Cash and Bank balances	46,844	134,658
Short term deposits	-	-
	46,844	134,658

The above extract is based on the Financial Statements of Kapchorua Tea Company Limited for the year ended 31 March 2015 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards.
The Company's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com